

7.2 Understanding of Various Ratios

Solvency Ratio

- Debt to equity ratio
- Interest coverage ratio

Liquidity Ratio

- Current ratio

Efficiency Ratio

- Total assest turnover
- Working capital turnover
- Day sales in inventory
- Day sales in receivables

Profitability Ratio

- Gross profit margin
- EBIT margin
- Return on Equity

Cash Flow Ratio

- $\text{CFO} / \text{EBITDA}$
- $\text{CFO} / \text{Net Profit}$

A ratio refers to the relationship between two values, say X and Y which means we should have a value in the numerator and another value in the denominator, so as to know a ratio. Ratios in a different context assist us while making decisions. It aids in determining how effectively the businesses and organizations are run.